

Hook Document

Uncover the Truth Behind Reddit's Reaction to Corporate Earnings

Imagine this...

You are a data analyst at a fast-paced financial firm during earnings season. Every quarter, major companies release their financial results—sending shockwaves through the market.

At the same time, millions of retail investors flood online platforms like Reddit, sharing reactions, predictions, and opinions in real time. Some celebrate massive gains, others panic over losses, and many debate what it all means.

With so much noise, one question stands out: Are these online reactions actually meaningful?

It might seem obvious that when a company beats expectations, sentiment should turn positive—and when it misses, sentiment should turn negative. Discussions online are often filled with sarcasm, disagreement, and speculation, making it difficult to separate signal from noise.

The Scenario

Financial analysts, investors, and decision-makers want to understand whether social media reflects real market behavior—or simply amplifies confusion.

Your team has collected data combining:

- Reddit comments from investing communities
- Sentiment scores derived from those comments
- Earnings outcomes for major companies

Using this data, you will investigate how people actually react to earnings announcements.

You will analyze patterns in sentiment and engagement, compare outcomes across different scenarios, and uncover whether online discussion aligns with financial performance—or diverges from it entirely.

Your High-Level Overview

- Investigate how earnings outcomes influence Reddit sentiment
- Analyze how engagement (discussion volume) changes after earnings events
- Apply data analysis techniques to uncover patterns in noisy, real-world data
- Deliver insights about whether social media reflects meaningful investor behavior

The details of what you must produce and how your work will be evaluated will be revealed in the project rubric. Prepare to explore the intersection of finance, data science, and online behavior—and uncover whether Reddit is a reliable signal or just noise.